

NVIDIA Corporation

NVDA NASDAQ

Buy	\$219.99 ▲ 3.80%	12M Price Target \$250.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.33T
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NVDA: Rips to Record as AI Capex Fears Fade

WHAT HAPPENED

- Stock ripped +3.8% to a new record close, capping a 5-day, ~13% run. What's driving it: AMD and SpaceX reported earnings this week that spooked investors on their OWN stories, BUT their capex (capital spending) numbers were "shocking" to the upside — meaning the hyperscalers and AI infrastructure players are STILL spending massively on chips. Translation: NVDA's customers just told the world they're buying more GPUs, not fewer.
- Semiconductor rally is broadening — Marvell, SanDisk, SK Hynix all leading. When memory and networking chip names run alongside NVDA, that's the market pricing in a full-stack AI buildout, not just one company's story.

WHY IT MATTERS

Here's what I think is really going on: the market spent July worried that "AI capex has peaked" — that Meta, Google, Amazon, Microsoft would start pulling back on GPU orders. AMD's ugly earnings reaction combined with SpaceX's report basically PROVED the opposite — spending is accelerating, not slowing. That's why NVDA is at all-time highs while a competitor stumbles: investors are concluding NVDA is taking share AND the pie is getting bigger. The options flow confirms this — 4.5 calls bought for every put, with massive unusual call buying at \$220-222.50 strikes expiring this month, meaning big money is betting on a continued melt-up into the next earnings print.

POLICY & POLITICAL WATCH

Two things to watch right now: (1) Trump's reported "Hormuz deal" and broader Middle East posture matters because Saudi and UAE sovereign wealth funds have committed tens of billions to AI data centers using NVDA chips — a friendlier Gulf policy environment unlocks more of that. (2) The China export license situation remains the wild card — the administration greenlit H20 chip sales to China earlier this year, but any escalation (Taiwan, tariffs, tech transfer disputes) could yank that back. Net-net, the current regulatory setup is friendlier than it's been in 18 months, but it's one tweet away from reversing.

IS IT EXPENSIVE?

At \$220, NVDA trades around 49x forward earnings — meaning investors are paying \$49 for every \$1 the company is expected to earn next year. That sounds expensive, but they're growing revenue ~50%+ and earnings faster, so the "PEG ratio" (price relative to growth) is actually reasonable at ~1.0. Compared to AMD at ~35x earnings with slowing growth, you're paying a premium for the company that's actually executing — and history says that premium usually widens, not shrinks, when a company dominates a category this hard.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

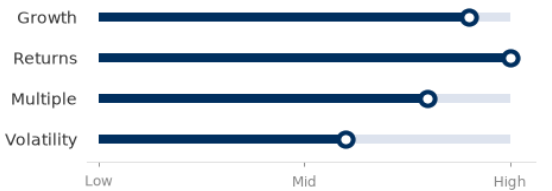
AI-Generated Pre-Market Brief | 2026-08-05 14:47 UTC

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Key Data

Price (USD)	\$219.99
12M Price Target	\$250.00
Upside / (Downside)	+13.6%
Market Cap	\$5.33T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.45
FY2027E EPS	\$5.85
Fwd P/E	49.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$225.00	\$200.00
6 Months	\$270.00	\$240.00	\$185.00
1 Year	\$300.00	\$250.00	\$170.00
2 Years	\$380.00	\$300.00	\$160.00
5 Years	\$550.00	\$400.00	\$180.00
10 Years	\$900.00	\$600.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors and AI infrastructure — capex commentary this week validated the buildout is accelerating, not peaking. Materials also popping (+1.56%), which often signals reflation/industrial optimism.

COOLING OFF: Healthcare is choppy (-1.3% over 5 days) as drug pricing rhetoric picks back up. Communications services is flat — the ad-driven names aren't participating in this leg.

ROTATION WATCH: Money is rotating INTO cyclicals and semis simultaneously — that's a "risk-on, growth is fine" signal. When defensives lag and semis lead, you're in a bull tape.

RELATED PLAY: If NVDA keeps running, the picks-and-shovels behind NVDA benefit too — think power/cooling infrastructure (Vertiv, Eaton), memory (Micron, SK Hynix), and data center REITs (Equinix, Digital Realty). The AI buildout needs electricity and real estate, not just GPUs.

WHO'S WINNING IN THIS SPACE?

- MRVL (Marvell): Riding the custom silicon and AI networking wave — they make the chips that connect NVDA's GPUs together in data centers.
- SNDK (SanDisk): Memory/storage rallying because AI workloads eat storage like crazy — every GPU cluster needs massive high-speed memory nearby.

NVDA CONTEXT: NVDA is LEADING this rally, not following — hitting new highs while AMD sells off tells you the market sees NVDA as the clear winner, not just "another chip name." That's a bullish tape signal; when the leader breaks out and peers follow, the trend has legs.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Pounding the table but not going all-in; the setup is great but we're at all-time highs, so risk/reward isn't as juicy as it was at \$170.

POSITION SIZE: 5-8% of portfolio — Big enough to matter, small enough that a 20% drawdown doesn't wreck you. This isn't a "bet the farm" name at these levels.

ENTRY POINTS: I'd wait for a pullback to \$205-212 to add — the stock ran 13% in a week, some cooling off is healthy. Don't chase into earnings.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Q2 earnings late August, then Blackwell Ultra ramp commentary, then Rubin chip guidance in 2027.

WHEN TO BAIL: If data center revenue growth drops below 20% YoY, or if a major hyperscaler publicly cuts NVDA orders, or if China export policy fully reverses — any of those breaks the thesis.

HEDGING: Simplest hedge — buy put options 10% below current price expiring 3-6 months out. Costs you a small premium but protects against a China-shock or earnings blow-up. Alternatively, trim 25% of your position if it rips another 15% from here to lock in gains.